and Sindhia, the cowardly Peshwa Baji Rao II rushed into the arms of the English and on the fateful last day of 1802 signed the Subsidiary Treaty at Bassein.

The victory had been a little too easy and Wellesley was wrong in one respect: the proud Maratha chiefs would not surrender their great tradition of independence without a struggle. But even in this moment of their peril they would not unite against their common enemy. When Sindhia and Bhonsle fought the British, Holkar stood on the sidelines and Gaekwad gave help to the British. When Holkar took up arms, Bhonsle and Sindhia nursed their wounds.

In the south, the British armies led by Arthur Wellesley defeated the combined armies of Sindhia and Bhonsle at Assaye in September 1803 and at Argaon in November. In the north, Lord Lake routed Sindhia's army at Laswari on the first of November and occupied Aligarh, Delhi and Agra. Once again the blind emperor of India became a pensioner of the Company. The Maratha allies had to sue for peace. Both Sindhia and Bhonsle became subsidiary allies of the Company. They ceded part of their territories to the British, admitted British Residents to their courts and promised not to employ any Europeans without British approval. The British gained complete control over the Orissa coast and the territories between the Ganga and the Jamuna. The Peshwa became a disgruntled puppet in their hands.

Wellesley now turned his attention towards Holkar, but Yeshwant Rao Holkar proved more than a match for the British and fought British armies to a standstill. Holkar's ally, the Raja of Bharatpur, inflicted heavy losses on Lake who unsuccessfully attempted to storm his fort. Moreover, overcoming his age-old antagonism to the Holkar family, Sindhia began to think of joining hands with Holkar. On the other hand, the shareholders of the East India Company discovered that the policy of expansion through war was proving costly and was reducing their profits. The Company's debt had increased from £17 million in 1797 to £31 million in 1806. Moreover, Britain's finances were getting exhausted at a time when Napoleon was once again becoming a major threat in Europe. British statesmen and the directors of the Company